

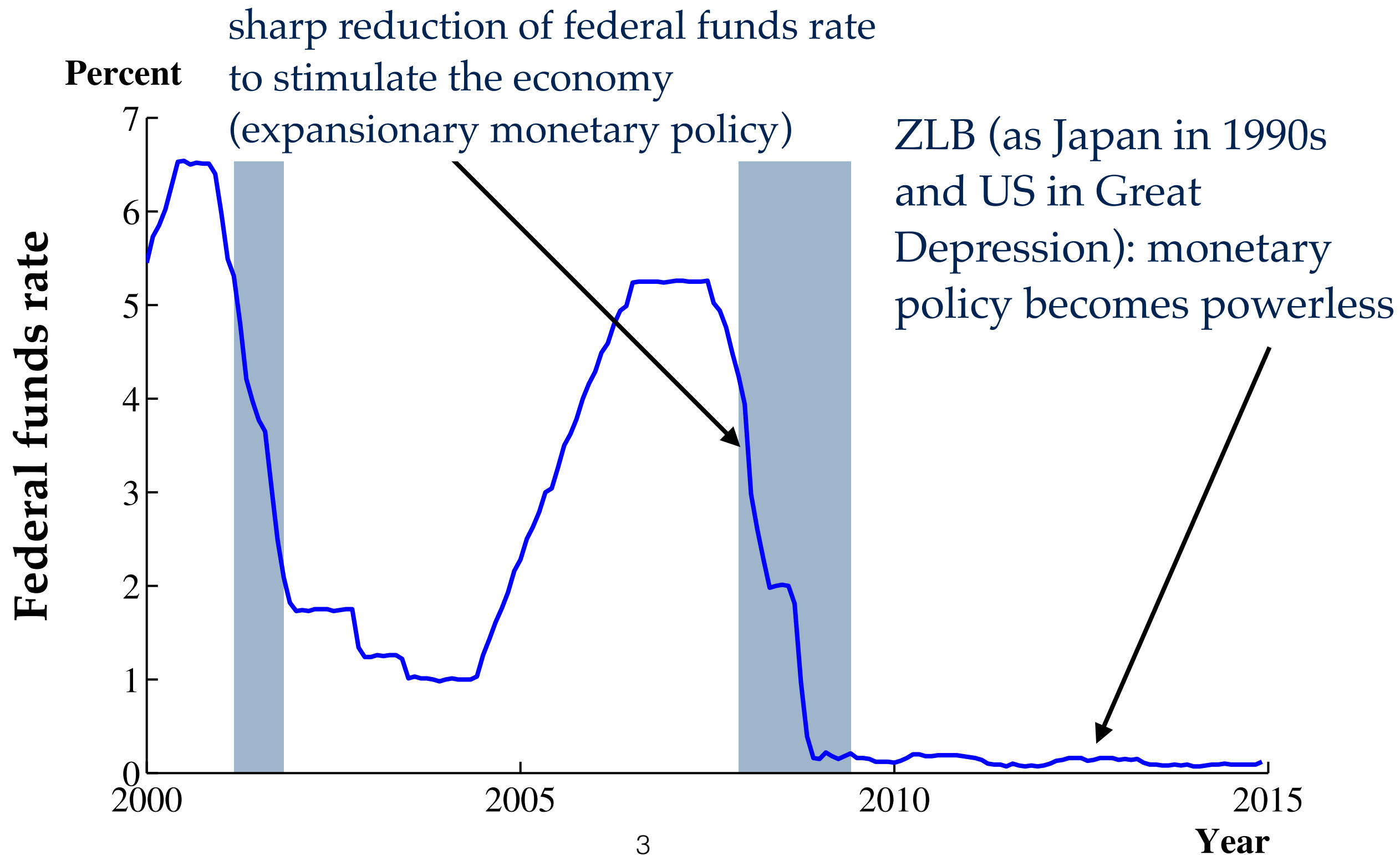
INTERMEDIATE MACROECONOMICS
IS-LM MODEL OF BUSINESS CYCLES
13. MONETARY & FISCAL POLICY

Pascal Michailat
pascalmichailat.org/y/

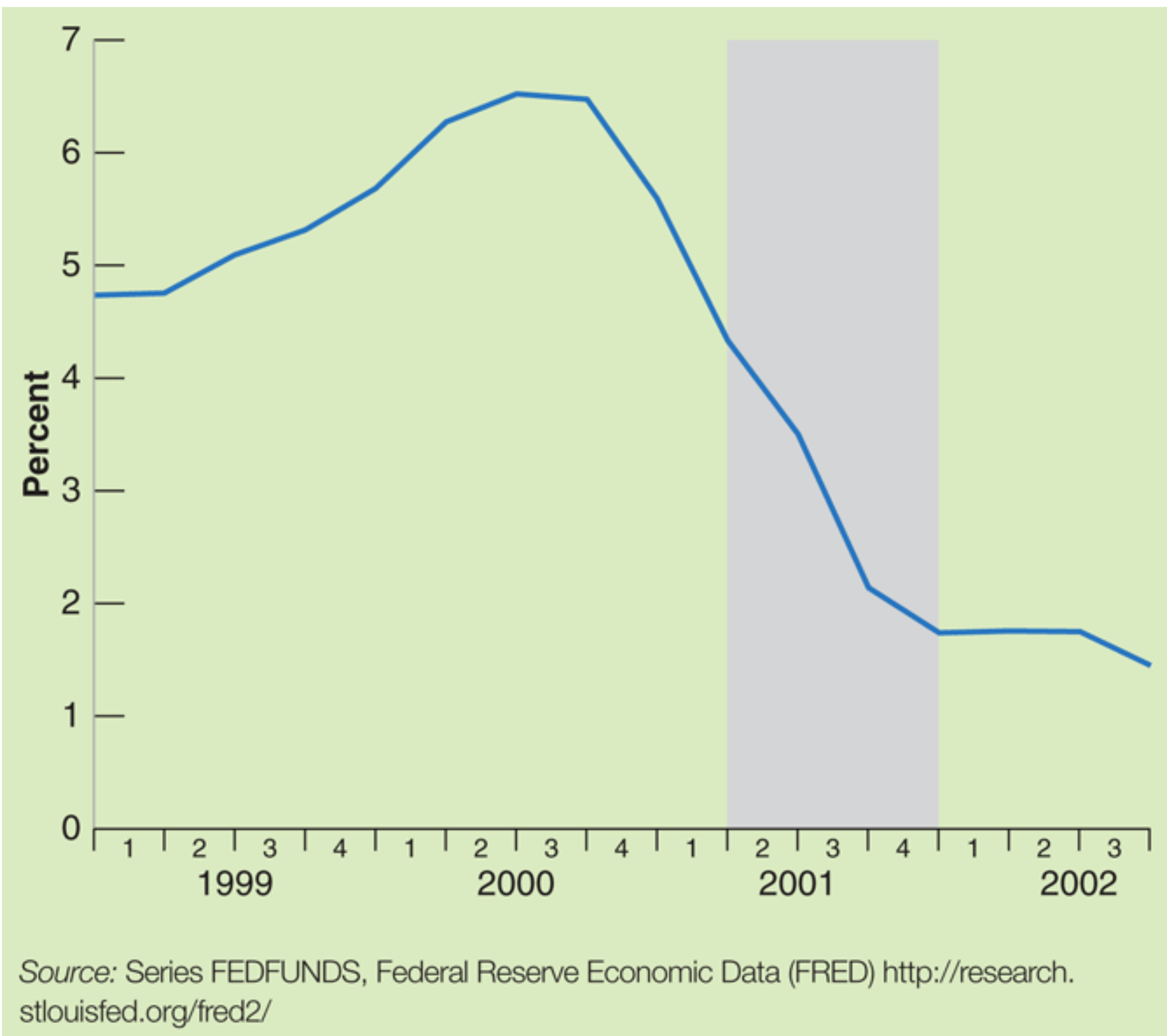
MANDATE OF THE US GOVERNMENT

- Employment Act of 1946 + Full Employment Act of 1978
- key objective: policy must foster “price stability” and bring the economy to “full employment”
 - inflation about 2% and unemployment about 3% – 4%
- Federal Reserve System: through monetary policy (federal funds rate)
 - most recent Fed announcement: <https://www.federalreserve.gov/newsevents/pressreleases/monetary20180926a.htm>
- federal government: through fiscal policy
 - public spending, public employment, taxes, transfers

US MONETARY POLICY DURING GREAT RECESSION, 2007–2009

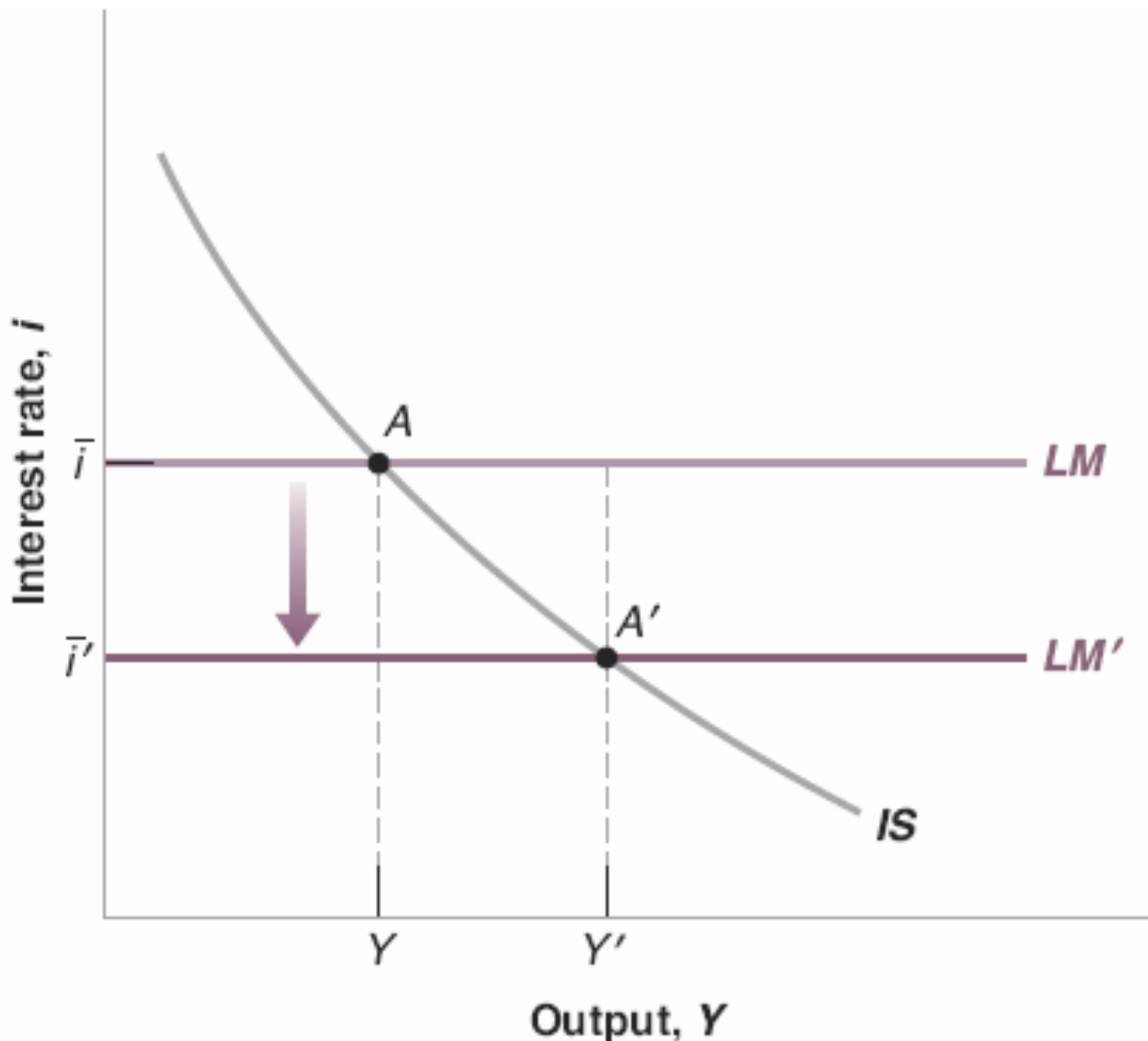


ANOTHER EXAMPLE: 2001 RECESSION



- strong response of monetary policy to the recession
- the Fed cut the federal funds rate from 6.5% to 2%
- the goal of this expansionary monetary policy was to stimulate the economy

EXPANSIONARY MONETARY POLICY IN IS-LM MODEL

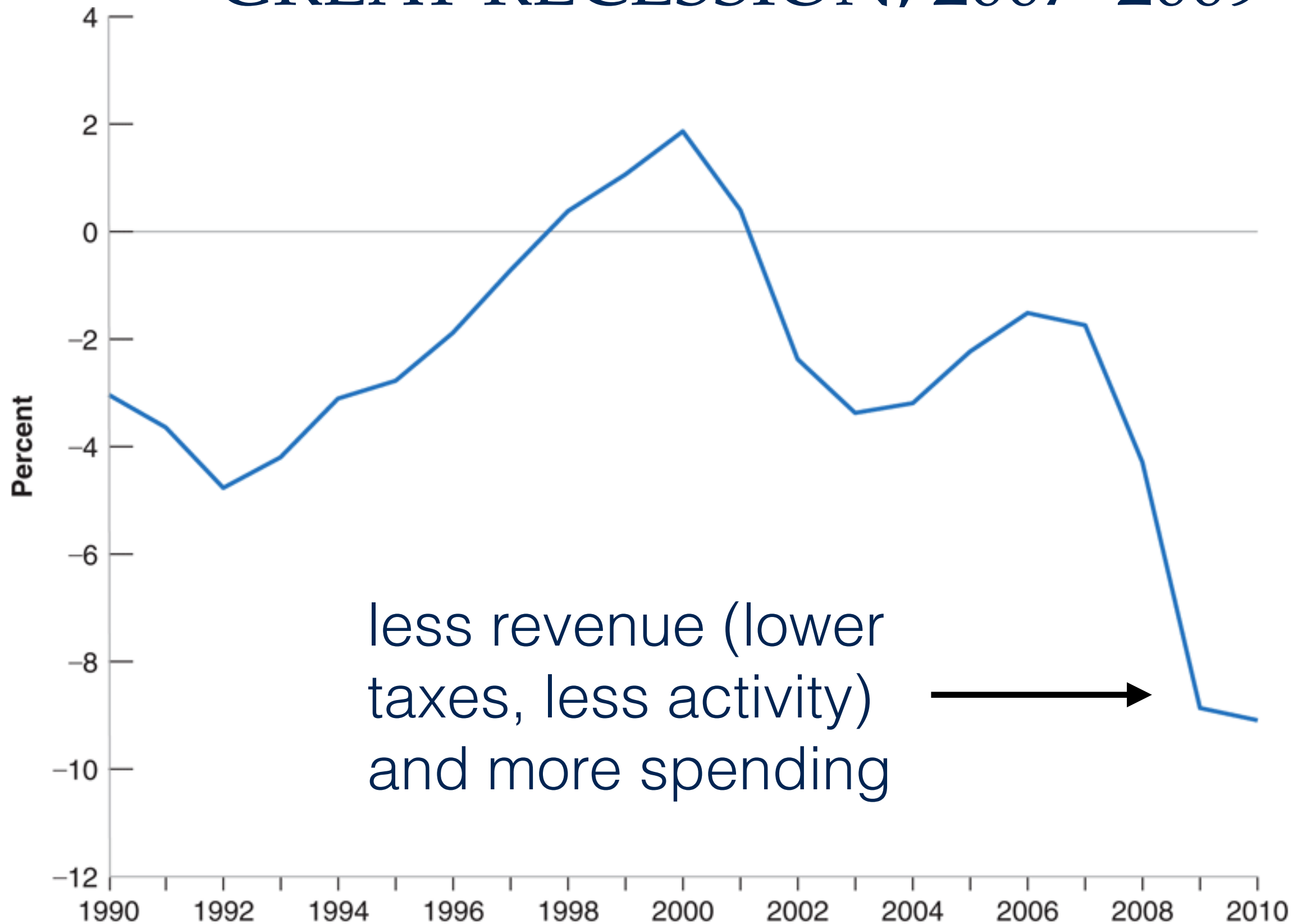


- the reduction in interest rate is implemented by increasing the money supply through OMO
- the LM curve shifts down
- equilibrium output rises (so consumption and investment also rise)
- this monetary policy is expansionary

US FISCAL POLICY DURING GREAT RECESSION, 2007–2009

- American Recovery and Reinvestment Act of 2009
 - spending: \$780 billion
 - increase in the duration of unemployment benefits from 26 weeks to 99 weeks
 - increase in the generosity of other welfare programs, such as the Supplemental Nutrition Assistance Program (food stamps)
 - spending on infrastructure projects

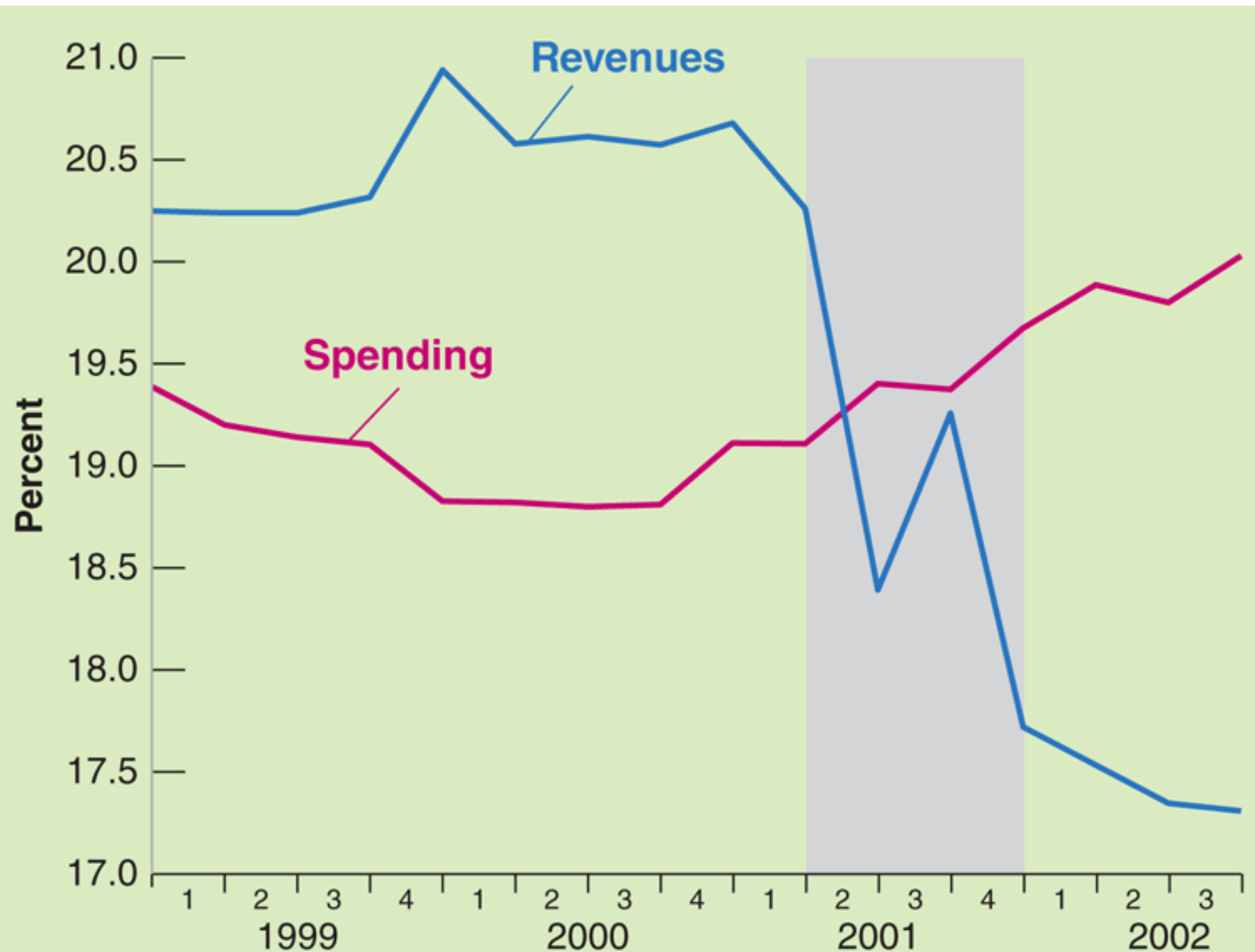
BUDGET DEFICIT (% GDP) DURING GREAT RECESSION, 2007–2009



less revenue (lower
taxes, less activity)
and more spending



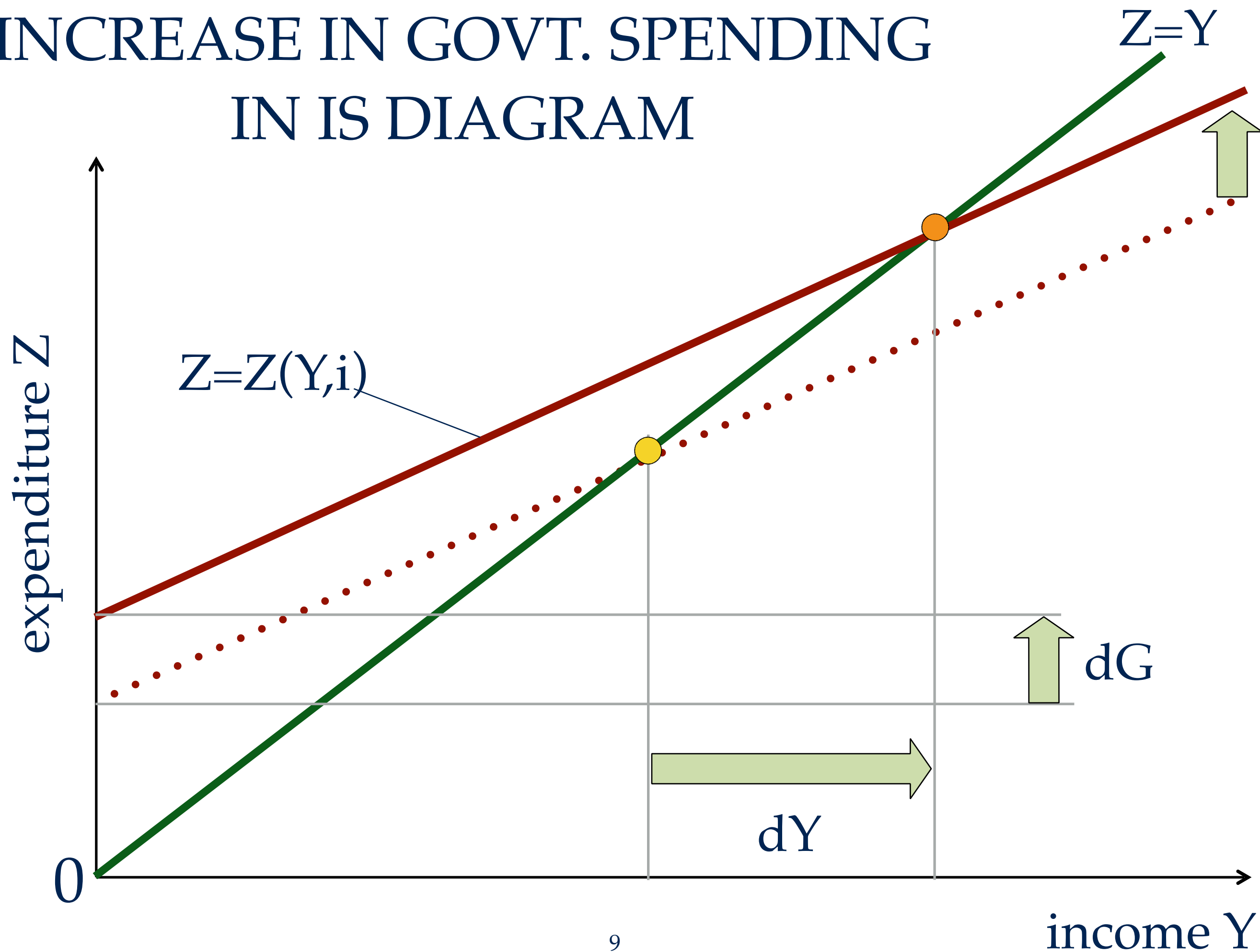
ANOTHER EXAMPLE: 2001 RECESSION



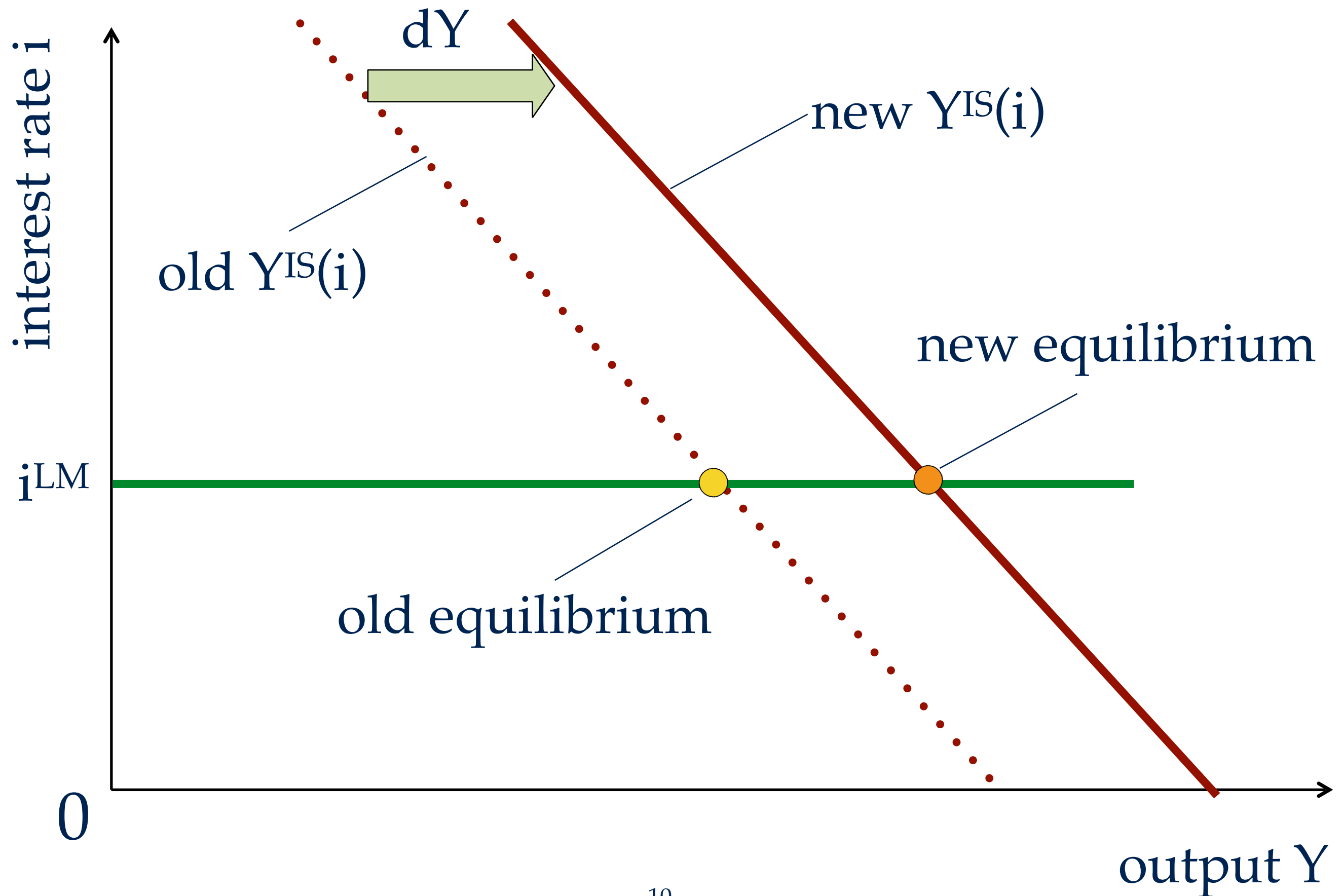
- taxes were cut in 2001 and 2002
- government spending increased in 2001 and 2002 (partly in response to 09 / 11 / 2001)
- in 2002: the government ran a budget deficit

Source: Calculated using Series GDP, FGRECPY, FGEXPND, Federal Reserve Economic Data (FRED) <http://research.stlouisfed.org/fred2/>

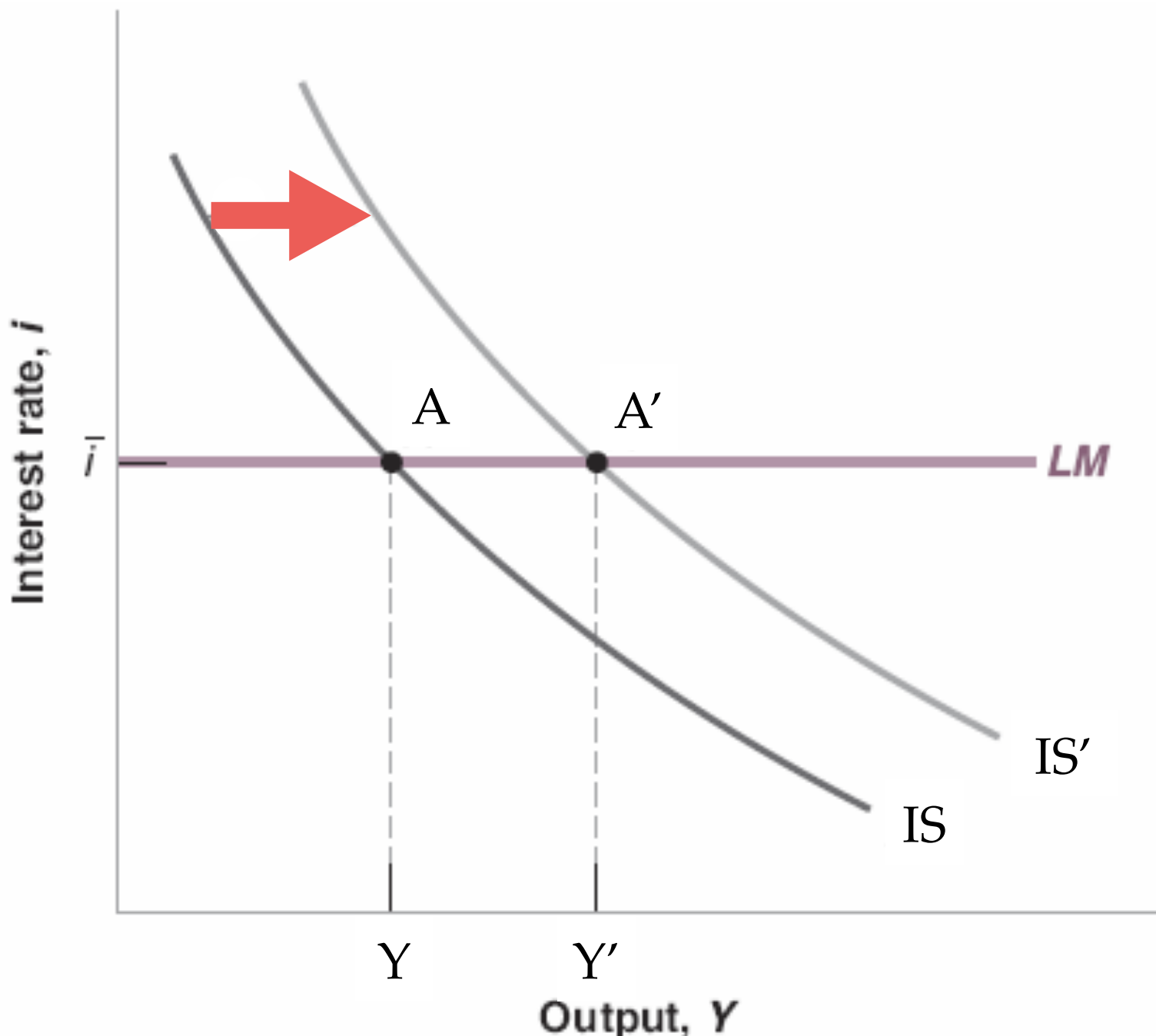
INCREASE IN GOVT. SPENDING IN IS DIAGRAM



INCREASE IN GOVT. SPENDING IN IS-LM DIAGRAM

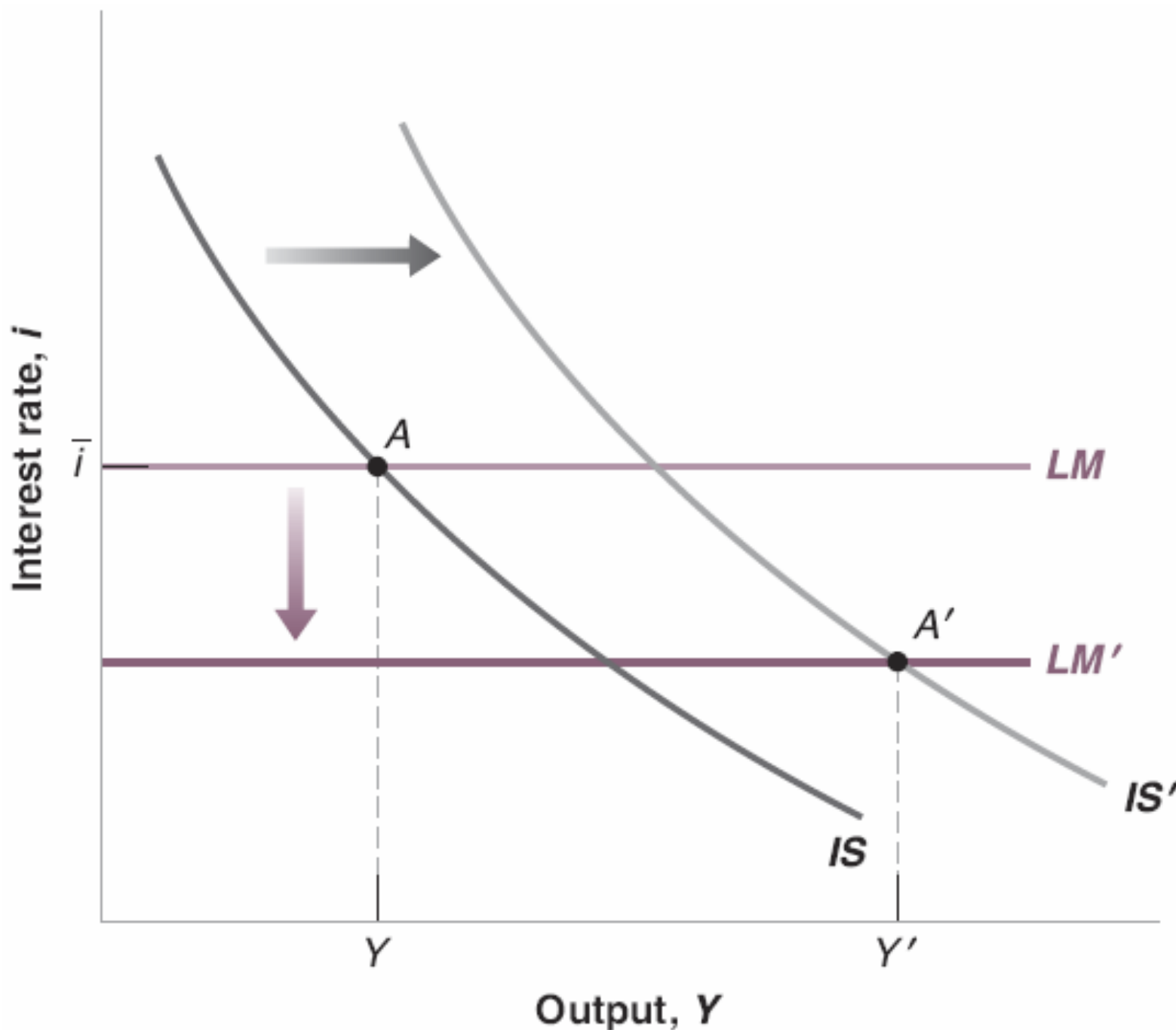


EXPANSIONARY FISCAL POLICY IN IS-LM DIAGRAM



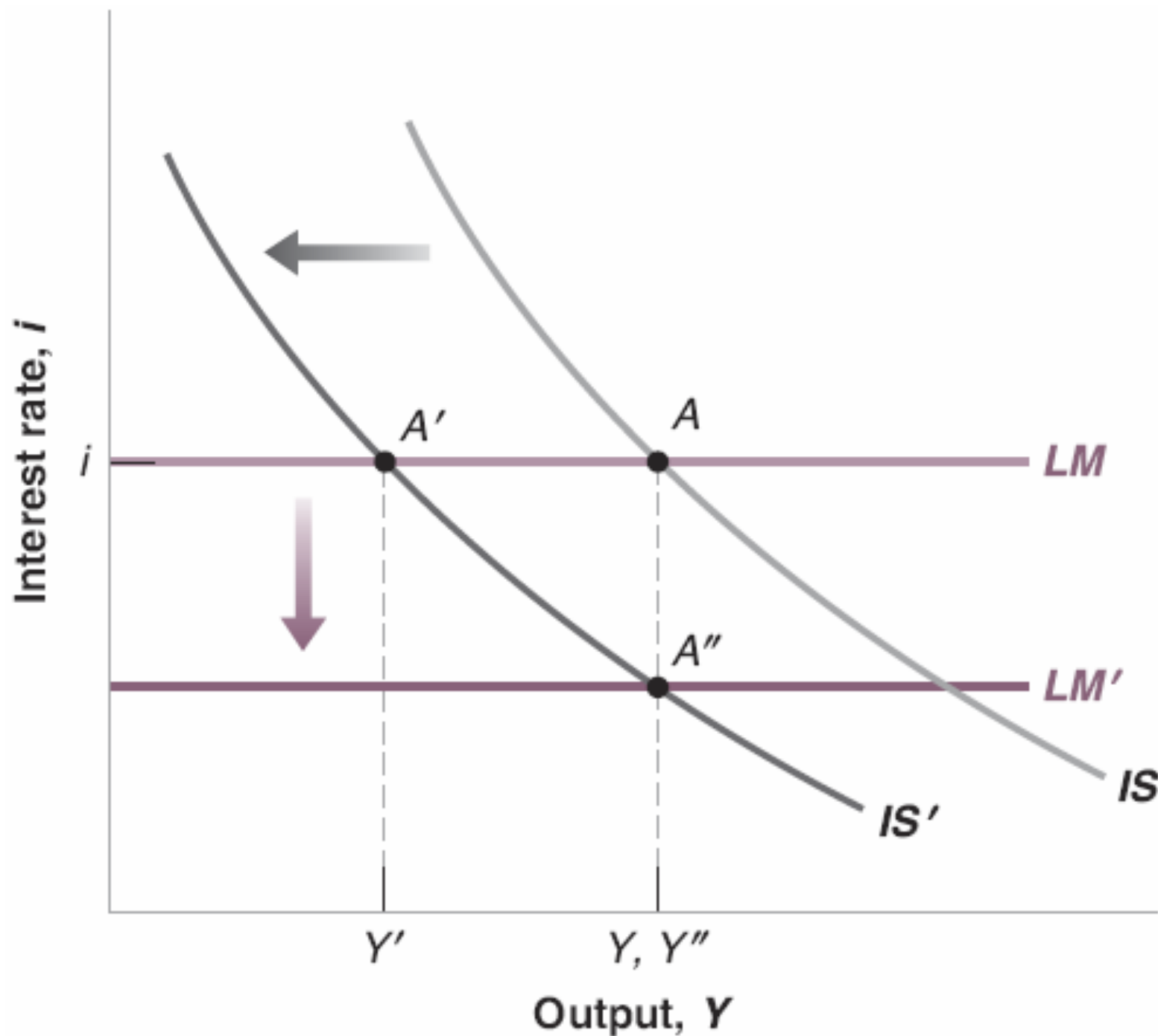
- lower T or higher G raise autonomous spending
- such increase in $G - T$ leads to a higher budget deficit
- the IS curve shifts rightward
- equilibrium output increases (so consumption and investment also rise)
- this fiscal policy is expansionary

POLICY MIX: MONETARY & FISCAL EXPANSIONS



- monetary expansion: shifts the LM curve down
- fiscal expansion: shifts the IS curve to the right
- the combination of these expansionary policies leads to higher output, consumption, and investment

HOW TO REDUCE GOVERNMENT DEFICIT WITHOUT CAUSING A RECESSION?



- first step: raise T and / or lower G to reduce the government budget deficit (as $G-T$ is lower)
- second step: combine the fiscal policy with a monetary expansion to maintain output at the same level
- the policy mix keeps output at the same level but reduces the government budget deficit!